Question 1

Revenue - Clifford plc

You are the financial accountant of Clifford plc (Clifford), a furniture manufacturer, and are responsible for preparing its financial statements for the year ended 31 August 20X5, in accordance with IFRS® Accounting Standards.

Clifford has entered into several new agreements with customers during August 20X5. It is 1 September 20X5. You are assisting the directors of Clifford in understanding whether each agreement detailed in the Appendix is identified as a contract with a customer in line with IFRS 15 *Revenue from Contracts with Customers.*

Required:

Advise the directors as to whether a contract for revenue exists in each of the agreements in the Appendix for the year ended 31 August 20X5.

(8 marks)

Appendix – Agreements with customers

Boutique hotel

At an informal lunch on 3 August 20X5, the sales manager of Clifford orally agreed with the owner of a boutique hotel in Stirling to manufacture furniture for the hotel's reopening in December 20X5. A more formal meeting to discuss price and to agree payment terms has been set up for 10 September 20X5. The sales manager at Clifford knows the hotel owner personally and has no reason to believe that the agreement will be revoked.

Surplus goods

Clifford had some surplus goods in its warehouse which it contractually agreed to deliver to an advertising company in exchange for advertising and marketing services that would otherwise have cost Clifford £40,000. The goods were delivered on 12 August 20X5 and the advertising and marketing services will be provided over the 3 months from 1 September 20X5. There is no reason to believe the services will not be fulfilled.

Furniture outlet

On 23 August 20X5, an oral agreement was reached for Clifford to sell goods with a price of £87,000 to a furniture outlet. The goods were ordered in June 20X5 and delivered on 28 August 20X5. The finance team at Clifford now has concerns over the outlet's ability to pay as it currently has an outstanding debt of £348,000, of which 70% is aged over 90 days. There was a recent announcement in the press that the outlet had closed four of its six stores and had made staff redundant. The furniture company placed an additional order on 30 August 20X5.

Question 2

Revenue - Bowzah plc

You are the financial controller of Bowzah plc (Bowzah). You are preparing the company's financial statements for the year ended 31 March 20X3 in accordance with IFRS Accounting Standards.

Bowzah's revenue is derived from machinery repairs, servicing and consultancy services. Relevant information is provided in the Appendix.

Required:

Advise on the appropriate accounting treatment for the matters relating to revenue in the Appendix for the year ended 31 March 20X3, and prepare, showing all workings, any journal entries necessary.

(20 marks)

Appendix – Details of matters relating to revenue

Machinery repair

In September 20X2, Bowzah entered into a signed contract to repair machinery used by Blue Ltd (Blue). It was expected that Bowzah would collect the consideration due under the contract. Work started in October 20X2 and was completed on 1 March 20X3. Under the terms of the contract, Blue could elect to either pay £300,000 immediately on 1 March 20X3 or take advantage of an interest-free credit option and pay £300,000 on 1 March 20X5. Blue has indicated that it will pay in 20X5. Bowzah's cost of borrowing is 6% per annum. Your assistant has recorded the transaction as Dr Trade receivables and Cr SPL – revenue with £300,000.

Machinery servicing

On 1 October 20X2, Bowzah entered into a contract to provide specialist servicing for one of its regular customers, Teal Ltd (Teal). Bowzah did not have sufficiently qualified staff to carry out the servicing and instead appointed a third party, Hammer Co (Hammer), which has taken full responsibility for providing the servicing. The contract has a total value of £440,000 and the servicing will be performed evenly over a 1-year period.

Teal pays Bowzah in advance on a monthly basis and Bowzah pays 90% of the amount to Hammer 7 days after receipt. All payments were made on time in the period to 31 March 20X3. Your assistant has recorded all amounts received from Teal as revenue and all amounts paid to Hammer as cost of sales.

Consultancy

Bowzah entered into a written contract with Cyan Ltd (Cyan) on 1 March 20X3. Under the terms of the contract, Bowzah will review the efficiency of Cyan's use of machinery over a 3-month period and will make recommendations at the end of that period as to how the efficiency can be improved. The total price for the consultancy service is £90,000 and Cyan was invoiced for a £10,000 deposit on entering into the contract, which has been recorded as Dr Trade receivables, Cr SPL – revenue. Cyan has not yet paid for the amount invoiced and it has subsequently been discovered that it is in financial difficulties, has ceased operations in some locations and is taking active steps to reduce its expenditure.

Question 3

Revenue - Veen Ltd

You are the financial controller of Veen Ltd (Veen) and are responsible for preparing the financial statements for the year ended 31 December 20X7.

Your assistant does not have experience in accounting for the type of revenue transactions entered into by Veen and has asked for your help in understanding how to determine the transaction price for the revenue transactions described in the Appendix.

Required:

Advise, with supporting calculations, how the transaction price should be determined for each revenue transaction in the Appendix for the year ended 31 December 20X7.

(8 marks)

Appendix – Revenue transactions

Variable price contract

Veen entered into a new contract in October 20X7 to supply components to a regular customer on a monthly basis. The contract sets out a standard price of £120 per unit, which is reduced to £100 per unit if the customer orders more than 20,000 units during the year to September 20X8.

The customer purchased 1,750 units in each of October and November and 1,800 units in December. Veen has experience with the purchasing patterns of this customer on other contracts and believes that the customer's purchases will exceed the 20,000-unit threshold during the year.

Revenue in respect of the units sold to date has been measured based on £120 per unit.

Potential refunds

In December 20X7, Veen sold £280,000 of goods on a sale with a right-to-return basis, the terms of which are that the customer can return goods within 60 days if they are not suitable or no longer needed. Veen's experience is that 12% of goods are returned. By 31 December 20X7, only 5% of the goods had been returned and, therefore, £266,000 of revenue has been recognised.

Question 4

Revenue - Valois Ltd

Valois Ltd (Valois), a construction company, has a contract in progress at 31 March 20X7 for the construction of a new factory for its customer, Mast Ltd (Mast). Mast controls the factory during its construction. You are responsible for preparing the financial statements of Valois for the year ended 31 March 20X7.

Details on the contract for construction of the factory are included in the Appendix.

Required:

Evaluate whether the contract meets the definition in IFRS 15 *Revenue from Contracts with Customers* and advise, showing all workings, how to account correctly for the contract in progress in Valois' financial statements for the year ended 31 March 20X7.

(9 marks)

Appendix – Contract for construction of the factory

The contract with the customer, Mast Ltd (Mast) was agreed in writing and was negotiated at a price of

£11,000,000 in April 20X6. Under the terms of the contract, a 5% incentive payment was included for completion of the construction by 30 April 20X8. A penalty of £50,000 will apply if the factory does not meet strict quality criteria as set out by Mast. There are no concerns as to Mast's ability to pay invoices as they fall due.

At 31 March 20X7, the project is slightly ahead of schedule and the project manager is confident it will be completed by 30 April 20X8. Valois does not have a past precedent of sub-standard quality and there are no indications of quality issues relating to this project.

Valois uses the input method to measure its stage of completion based on labour hours incurred as a proportion of the total labour hours. Valois has incurred a total of 10,430 labour hours from a total of 23,180 labour hours.

An invoice to Mast was raised on 20 March 20X7 for £5,000,000, which was unpaid at the year end. The amount of the invoice was credited to a revenue account.

Question 5

Revenue - Sustain Ltd

You are the financial accountant of Sustain Ltd (Sustain), a company that specialises in the sale of energy-efficient products for companies. You are preparing Sustain's financial statements for the year ending 31 March 20X4.

The financial controller of Sustain has asked for your assistance in finalising the accounting for certain revenue transactions entered into in the period. Relevant information is in the Appendix. All transactions have been confirmed as being revenue contracts in accordance with IFRS 15 *Revenue from Contracts with Customers*.

Required:

Advise, showing all workings, how the revenue transactions in the Appendix should be accounted for in the year ended 31 March 20X4.

(16 marks)

Appendix – Revenue transactions

Sale of heat pump boilers

Sustain entered into a contract for the sale, installation and maintenance of an industrial heat pump boiler to a customer for a total of £320,000. Under the terms of the contract, Sustain delivered the boiler to the customer's premises on 1 May 20X3 and carried out the necessary installation of the boiler on the same day. Sustain will thereafter provide 1 year's maintenance on the boiler at no additional cost to the customer. The boiler has a standalone selling price of £300,000, installation is usually sold separately at a cost of £12,400 and the cost of 1 year's servicing is normally £24,000.

Sustain has recorded the £320,000 received as revenue.

Sale of solar-powered equipment

Sustain entered into a contract to sell solar-powered equipment to a customer on 28 March 20X4 for a total of £54,000, which included the costs of delivery. The customer paid for the equipment on that day. The equipment was despatched by Sustain on 31 March 20X4 and was delivered by a specialist delivery company to the customer on 1 April 20X4. Sustain took responsibility for insurance of the equipment until it was received by the customer. Receipt by the customer was evidenced by a signature on 1 April 20X4.

Sustain has recorded the £54,000 received from the customer as revenue.

Sale with a right of return

Sustain sold goods totalling £86,800 to a customer on 20 February 20X4 on 60-day credit terms, which the customer can return within 45 days if it decides the goods are not suitable for its business. Past experience indicates that approximately 10% of the goods will be returned. On 31 March 20X4, the customer returned some of the goods with a sales value of £4,280, stating that no further returns would be made and enclosed payment for the amount due.

Sustain recorded revenue net of the 10% expected to be returned and recorded a corresponding refund liability. A corresponding asset representing the right to return goods (with a reduction in cost of sales) was also recorded.

When the customer returned the goods, Sustain posted the journal Dr Refund liability £4,280, Cr Trade receivables £4,280. The value of the inventory returned was debited to inventory and credited to cost of sales.

Question 6

Revenue - Swarbrick Ltd

You are the financial controller of Swarbrick Ltd (Swarbrick), a company which generates revenue from the sale of building materials. You are preparing Swarbrick's financial statements for the year ended 30 June 20X8 in accordance with IFRS Accounting Standards.

You need to finalise the accounting for various revenue transactions, which are detailed in the Appendix.

Required:

Advise, showing all workings, how each of the transactions in the Appendix should be accounted for in the year ended 30 June 20X8.

(9 marks)

Appendix – Revenue transactions

Sale of bricks

Swarbrick sold bricks to a customer Frey Ltd (Frey) on 28 May 20X8 for an agreed price of £412,000, which is the normal selling price for the bricks. The bricks were available for immediate delivery to Frey, however, Frey did not have sufficient space in its warehouse to take delivery of the bricks on that date. Frey requested that Swarbrick store the bricks on its behalf until space becomes available.

Swarbrick does not normally store goods on behalf of customers but has agreed to this request. It has separated the bricks in the yard and has clearly labelled them as belonging to Frey and has stated that they cannot be delivered to any other customer. Swarbrick makes its own deliveries and will be able to deliver the bricks to Frey within its standard 3-day delivery window when requested.

Swarbrick continues to hold the bricks at 30 June 20X8.

Your assistant has not recorded any revenue in respect of the transaction as they do not believe that Swarbrick satisfies its performance obligations until the bricks are delivered to Frey.

Sale of timber

Swarbrick sold timber with a carrying amount of £400,000 to a financial institution on 1 June 20X8. The timber needs to dry and age before it can be sold to customers. The financial institution does not intend to use the timber. Swarbrick has a call option which allows it to repurchase the timber any time after 1 June 20X9 for a total of £500,000. Swarbrick expects to exercise the call option at the earliest opportunity.

Your assistant has recorded revenue of £400,000 in respect of the transaction as control of the timber has passed to the financial institution.

Question 7

Revenue - Global Digi Bytes plc

You are the financial controller of Global Digi Bytes plc (Global), a software development and distribution company. You are preparing the company's financial statements for the year ended 30 September 20X6 in accordance with IFRS Accounting Standards.

Global has two large customised-software development contracts: Mega, which commenced in the year ended 30 September 20X5, and Terra, which commenced during the year ended 30 September 20X6. Neither contract was complete at the year end. Your assistant has summarised the relevant information for your consideration in the Appendix.

Required:

Calculate, showing all workings, the balances relating to the contracts in the Appendix for presentation in Global's statement of profit or loss for the year ended 30 September 20X6 and the statement of financial position as at that date.

(13 marks)

Note: Ignore VAT.

Appendix – Contracts in progress at year end

Global entered into a software development contract for Mega in early 20X5 and recognised revenue of £462,000 and contract costs of £364,000 relating to Mega in the year ended 30 September 20X5.

It entered into a contract with Terra during the year ended 30 September 20X6. Both contracts were still ongoing at 30 September 20X6. The price and payment terms for each contract have been agreed and there is no concern over the customer's ability to pay.

Details of the contracts at 30 September 20X6 are as follows:

	Mega £'000	**Terra £'000**
Contract price	1,344	300
Costs incurred to date:		
Labour, materials and fees	410	140
Subcontractor fees	237	145
Administration costs	33	10
	680	295
Estimated costs to complete:		
Labour, material and fees	23	123
Subcontractor fees	-	28
Administration costs	29	9
	52	160

The satisfaction of performance obligations is determined by using allowable costs incurred to date as a proportion of allowable total costs. The Mega contract allows for the inclusion of administration costs in recoverable costs, to the extent that they relate to the specific project. This is not the case for the Terra contract.

All other costs incurred to date are considered recoverable. None of the costs incurred to date relate to future performance obligations.

A penalty equivalent to 5% of contract price is applied if Global does not complete the development projects on time. It is expected that Global will deliver the Terra contract late.

Global has raised invoices to date of £1,000,000 relating to the Mega contract and £250,000 relating to the Terra contract. Mega has settled £800,000 of the amounts owing. No amounts have been received from Terra.

Question 8

Foreign currency transactions - Goldy Marks Ltd

You are the financial accountant of Goldy Marks Ltd (Goldy) and are responsible for preparing its financial statements for the year ended 31 December 20X3, in accordance with IFRS Accounting Standards. Goldy does not invest in assets or provide financing as a main business activity.

You have been asked to give advice to the finance assistant regarding accounting for foreign currency transactions. Relevant information is included in the Appendix.

Required:

Advise, with supporting calculations, how the foreign currency transactions should be accounted for in the year ended 31 December 20X3.

(19 marks)

Appendix – Foreign currency transactions

Goldy acquired a building in Spain on 1 January 20X2 at a cost of €1,400,000. The building has a useful life of 20 years. Depreciation is considered to be a material expense and is presented separately in the statement of profit or loss. Goldy measures buildings using the revaluation model.

The building was initially correctly measured at £1,029,412. On 31 December 20X3, Goldy had the building valued and an independent valuer placed a value of €1,280,000 on the building at that date. The estimated useful life of the building was reduced to 15 years from that date.

Goldy took out a loan in January 20X2 of €1,000,000 to pay for the property. Goldy pays interest on the loan at 6% per annum in arrears, which is also the effective rate of interest. Capital repayments are not due until 20X6. The carrying amount of the loan at 31 December 20X2 was £833,333.

Relevant exchange rates are:

	Rate
1 January 20X2	£1: €1.36
31 December 20X2	£1: €1.20
31 December 20X3	£1: €1.16
Average for 20X3	£1: €1.19

Question 9

Employee benefits - Stamp Ltd

Stamp Ltd (Stamp) operates two pension plans. It is preparing its financial statements in accordance with IFRS Accounting Standards for the year ended 31 December 20X3.

Relevant information relating to the pension plans is in the Appendix.

Required:

Calculate the total amount to be presented as general and administrative expenses and the net interest expense or income for inclusion in the statement of profit or loss for the year ended 31 December 20X3.

(15 marks)

Appendix – Pension plans

Plan A

This is a defined contribution plan, with employees paying 5% of salaries and Stamp paying 6% of salaries. At 1 January 20X3, there were 200 members in the plan. Annual pensionable salaries for these 200 members for the year ended 31 December 20X3 totalled £5,600,000.

On 1 July 20X3, 150 members transferred from Plan B to Plan A. The pensionable salaries of the 150 members transferred for the 6 months ended 31 December 20X3 totalled £2,025,000.

Plan B

This is a defined benefit plan, with Stamp paying a current service cost of 10% of pensionable salary. The plan assets had a market value of £25,000,000 at 1 January 20X3 and the plan obligation had an actuarial value of £15,200,000 at the same date.

The discount rate applied to plan assets and obligations is 6.2% per annum.

The annual pensionable salaries for 20X3, for those employees in the scheme at 1 January 20X3, were

£11,000,000 and these accrue evenly across the year.

Benefits paid to plan members during the year equalled £1,200,000 and were paid evenly throughout the year.

On the transfer of the 150 employees to Plan A, a payment of £9,200,000 was paid by Plan B into Plan

A. The reduction in the obligation of Plan B because of the transfer was £8,900,000.

Stamp paid contributions of £450,000 on 1 January 20X3 and £480,000 on 1 July 20X3. Stamp presents employee-related costs in general and administrative expenses.

Question 10

Employee benefits - Gronlund plc

Gronlund plc (Gronlund) operates a defined benefit pension plan for its employees. It is preparing its financial statements for the year ended 31 March 20X4 in accordance with IFRS Accounting Standards.

Information regarding the pension plan is included in the Appendix.

Required:

Construct, showing all workings, extracts from the statement of profit or loss and other comprehensive income of Gronlund for the year ended 31 March 20X4 and extracts from the statement of financial position as at that date.

(16 marks)

Appendix – Defined benefit pension plan

Relevant information is as follows:

- At 1 April 20X3, pension plan assets had a market value of £245,000,000 and the pension plan obligation was valued by the actuary at £298,000,000.
- The actuary has advised that the current service cost to the company is 9% of pensionable salaries. Pensionable salaries for the year ended 31 March 20X4 equalled £28,000,000.
- Contributions of £12,000,000 are paid to the pension plan on an even basis across the year.
- Benefits of £18,000,000 are paid from the pension plan evenly across the year.
- The discount rate applied to the pension plan obligation and the pension plan assets is 6.5%.
- On 1 October 20X3, the directors decided to enhance the benefits available to dependent relatives under the terms of the scheme. The benefit was backdated and the actuary estimated that the additional obligation to the pension plan was £5,000,000. The company decided to make an additional contribution of £5,200,000 on 1 October 20X3 to meet this increased obligation.
- The market value and actuarial value of the pension assets and pension obligation at 31 March 20X4 were £299,900,000 and £327,300,000 respectively.
- Staff costs are presented in general and administrative expenses.

Question 11

Employee benefits -- Feather Your Nest Bedding plc

You are the financial controller of Feather Your Nest Bedding plc (Feather), a listed company in the soft furnishings retail trade. You are preparing the financial statements for the year ended 31 March 20X2, in accordance with IFRS Accounting Standards.

Today, you must prepare any adjustments necessary to correctly account for employee benefits in this year's financial statements.

Information regarding employee benefits is in the Appendix.

Required:

Prepare, showing all workings, journal entries to account correctly for the matters in the Appendix for the year ended 31 March 20X2.

(14 marks)

Appendix – Information regarding employee benefits

General

Feather operates two pension plans for its employees – a defined contribution scheme and a defined benefit scheme. The defined benefit scheme has been closed to new members for several years.

March payroll

The payroll supervisor, who normally prepares the monthly journal entries to account for payroll matters, was taken ill at the end of March 20X2. The only entry in the nominal ledger for the year ended 31 March 20X2 for the March payroll was to record staff costs for the net wages and salaries paid. The supervisor returned in time to make the payments due to HMRC and to the pension plans in April 20X2.

You have obtained the following information from the March payroll:

	£'000
Net wages and salaries	2,337
Pay As You Earn system deductions and employees' national insurance contributions	969
Employer's national insurance contributions	439
Employees' pension contributions to defined contribution scheme	174

Defined contribution pension plan

Participating employees contribute 5% of their salaries and Feather contributes 10%. All contributions due for any month are paid over in the following month. The payments relating to February have been recorded correctly, however, no other journals have been posted in respect of the defined contribution pension plan for March.

Defined benefit pension plan

Details at 31 March are as follows:

	20X2	**20X1**
	£'000	**£'000**
Fair value of pension assets	70,180	72,650
Present value of pension obligation	69,570	73,100
Current service cost	212	
Employer's contributions paid	360	
Payments to pensioners	6,752	

The discount rate applied to the pension obligation and assets is 4.8%.

The only journal entry in the nominal ledger for the year ended 31 March 20X2 in respect of the plan is the employer contributions paid, which has been recorded correctly. The contributions were paid in a single payment on 1 April 20X1. The payments to pensioners were made evenly across the year.

Question 12

Employee benefits - Stevenson Arbuthnot plc

Stevenson Arbuthnot plc (Stevenson) operates a defined benefit pension plan for its employees. It prepares its financial statements in accordance with IFRS Accounting Standards. Stevenson's draft statement of financial position as at 28 February 20X8 has a pension deficit of £5,600,000.

Further details on the defined benefit pension plan are included in the Appendix.

Required:

For the year ended 28 February 20X9:

1. Advise, on the impact of any errors (but not omissions) in accounting for the defined benefit pension plan in the statement of profit or loss and the statement of financial position.

(3 marks)

2. Prepare, showing all workings, any journal entries necessary to account for the defined benefit pension plan.

(18 marks)

Total marks (21 marks)

Appendix – Information regarding the defined benefit pension plan

The company's actuaries have provided the following information relating to the plan in respect of the year ended 28 February 20X9:

1. The plan's assets and obligation were as follows:

	28 February 20X9	28 February 20X8
	£'000	£'000
Fair value of plan assets	65,800	60,800
Present value of plan obligation	71,600	66,400
Pension deficit	5,800	5,600

2. The interest rate applied to the plan assets and obligation is 4.6%.

3. Stevenson paid a contribution of £2,600,000 to the plan on 1 March 20X8 and a further contribution of £4,000,000 on 28 February 20X9. Both contributions were debited to SPL – staff costs and credited to Cash and cash equivalents and these are the only accounting entries that have been made in relation to the pension plan for the year ended 28 February 20X9.

4. The pensionable salaries of Stevenson for the year ended 28 February 20X9 were £36,000,000 and the current service cost is 9% of salaries. Pensionable salaries take into account the transfer mentioned below. The plan is non-contributory for employees.

5. Benefits paid to members of the plan totalled £8,200,000 and were paid evenly throughout the year ended 28 February 20X9.

6. On 1 September 20X8, Stevenson transferred several employees from the defined benefit scheme to a defined contribution plan. Plan assets totalling £4,300,000 were transferred to the defined contribution plan and the actuary estimated that this had reduced the total obligation by £4,500,000.

Question 13

Share-based payments - Madison Groff Ltd

Madison Groff Ltd (Madison) prepares its financial statements to 31 December each year, in accordance with IFRS Accounting Standards. Madison is considering two possible employee incentive schemes. Madison currently has 1,000 employees and approximately 45 employees leave each year.

You have been asked to compare the following aspects of the two schemes:

- Type of scheme
- Accounting treatment
- Valuation basis
- Revision of estimates

The scheme chosen would commence on 1 January 20X1 and run for 2 years. You have also been asked to calculate the cost of each scheme for both years.

Scheme 1

Employees who are still employed by Madison at the end of the 2-year period will each receive 50 share options.

You are to assume that the fair value of a share option on 1 January 20X1 will be £1.60.

Scheme 2

Employees who are still employed by Madison at the end of the 2-year period will each receive 25 share appreciation rights (SAR).

You are to assume that the fair value of a SAR will be:

- £2 on 31 December 20X1
- £4.50 on 31 December 20X2

Required:

1. Compare the two employee incentive schemes using the headings provided.

(15 marks)

2. Calculate, showing all workings, the cost of each scheme for both years.

(8 marks)

Total marks (23 marks)

Question 14

Share-based payments - Unitron Ltd

Unitron Ltd (Unitron) has a share-based payment plan for its six executive directors. Unitron prepares its financial statements in accordance with IFRS Accounting Standards.

Information regarding this plan is provided in the Appendix.

Required:

1. Calculate, showing all workings, the amounts that would appear in the statement of financial position as at 31 December 20X3 and in the statement of profit or loss for the year then ended.

(9 marks)

2. Advise of the disclosures that Unitron should make in the notes to its financial statements for the year ended 31 December 20X3.

(5 marks)

Total marks (14 marks)

Appendix – Share-based payment plan

Each director will be entitled to 200,000 share options exercisable at:

- £1 each, if profit before tax grows by an average of more than 16% per annum over the 4 years ended 31 December 20X4, or
- £2 each, if profit before tax grows at an average of between 10% and 16% over the 4 years ended 31 December 20X4

No options will be granted to directors who leave the company before 31 December 20X4 or if profit before tax growth is below an average of 10% per annum over the 4 years ended 31 December 20X4.

On the grant date, 1 January 20X1, it is estimated that the options have the following fair values:

- £1 option – £3.20 fair value
- £2 option – £2.60 fair value

Year ended 31 December 20X1

Profit before tax grew by 12% and it was expected that this level would be maintained. It was anticipated that all six directors would remain in post.

Year ended 31 December 20X2

Profit before tax grew by 15% and it was expected that this level would be maintained. It was anticipated that all six directors would remain in post.

Year ended 31 December 20X3

Profit before tax grew by 19% but the growth rate for 20X4 was expected to fall to 12%. One director resigned but the remaining directors were expected to remain in their posts for the next year.

It is company policy to credit retained earnings in relation to equity-settled, share-based payment transactions.

Question 15

Share-based payments - Victory Rose plc

You are the recently appointed finance manager of Victory Rose plc (Victory), which prepares its financial statements to 30 September each year, in accordance with IFRS Accounting Standards.

Today, you are required to account for the outstanding matters relating to share-based payments in the Appendix.

Required:

Prepare, showing all workings, any journal entries necessary to account for the outstanding matters in the Appendix for the year ended 30 September 20X8.

(12 marks)

Appendix – Details of outstanding matters relating to share-based payments

Share options

On 1 October 20X5, the five executive directors were each granted 15,000 share options which could be exercised on 30 September 20X8 if the directors remained with the company until this date. Each option entitled the director to one £0.50 share. The exercise price depended on the average growth rate of new customers over the 3-year period:

Growth rate	Exercise price at 30 September 20X8 £/option	Fair value at 1 October 20X5 £/option	Fair value at 30 September 20X8 £/option
Up to/equal to 8%	35.00	9.00	12.00
Over 8%	25.00	15.00	21.00

In each of the 2 years from 1 October 20X5, the annual growth rate of new customers was 9%. In the year ended 30 September 20X8, the growth rate was 5%.

One of the directors retired on 31 March 20X8. The remaining four directors were still employed at 30 September 20X8 and three of these directors exercised all of their share options. Cash received was recognised as Dr Cash and cash equivalents and Cr SPL – other operating income. The remaining director chose not to exercise the options and they lapsed. The market value per share on 30 September 20X8 was £38.

Victory has recognised the value of these share options as Dr SPL – staff costs and Cr Retained earnings. The balance on this reserve at 30 September 20X7 was £750,000. No other accounting has taken place.

Share appreciation rights

On 1 October 20X6, Victory granted 50 share appreciation rights (SAR) to each of its 1,420 employees on the condition that the employees remain with the company for the next 3 years until 30 September 20X9. Payment will be made on 31 October 20X9. The scheme was correctly accounted for in the financial statements for the year ended 30 September 20X7.

You have obtained the following information to allow you to post the necessary journal entries for the year ended 30 September 20X8:

Year ended 30 September	Employees that left during year	Further employees expected to leave	Fair value at 30 September (£/SAR)
20X7	96	200	3.50
20X8	115	100	3.80

Question 16

Share-based payments - Sorrento Azure plc

You are the financial controller of Sorrento Azure plc (Sorrento), a retailer with outlets throughout the UK. Sorrento prepares its financial statements in accordance with IFRS Accounting Standards.

The directors have asked you to analyse the impact of certain share-based payment matters on Sorrento's financial statements for the following year ending 31 May 20X4. Relevant information is in the Appendix.

Required:

Advise how the items in the Appendix should be accounted for in the year ending 31 May 20X4.

(12 marks)

Appendix – Relevant information relating to share-based payment matters

The board of directors decided to introduce a new scheme for managers from 1 June 20X3 onwards.

Managers' incentive scheme

The scheme started on 1 June 20X3 and applies to all 160 of the management staff employed at that date. The scheme offers share appreciation rights on a notional 4,000 ordinary shares to each manager provided they stay with the company until 31 May 20X7. No managers may join the scheme after 1 June 20X3.

Over the term of the scheme, it is estimated that eight mangers will leave the company each year and that six will join annually. It is estimated that the fair value of a share appreciation right at 31 May 20X4 will be £3.60.

Sorrento pays tax at 20%.

New retail outlets

Sorrento is considering the acquisition of several new retail outlets during the year ending 31 May 20X4. The outlets have a combined asking price of £23m. The directors of Sorrento are considering two alternative bids for the outlets:

a) A cash bid of £23m, or
b) An issue to the seller of four million £0.50 ordinary shares in Sorrento. At the date of issue of the shares to the seller, it is estimated that each share would have a fair value of £6.